

Another feeble attempt at a new high floundered on unremarkable volume. The stock moved horizontally and stalled out—a partial rise that often spells trouble for bulls. On 4 June, price dropped on high volume and returned to the horizontal trendline. The stock paused there for just over a week before moving down and punching through the support level at 12.25.

A pullback in bull markets is quite common for ascending broadening formations, so it is no surprise that after a rapid 13% retreat, the stock turned around and pulled back to the base of the pattern. Although not shown in the figure, the stock continued moving upward until it began forming another ascending broadening pattern in late October with a base at 16.50.

The ascending broadening formation represents the desire of investors and traders to own the stock at a fixed price, in this case about 12.25. Their buying enthusiasm pushes price higher until mounting selling pressure causes a halt to the rise and sends the stock tumbling. With each attempt, fewer people are left willing to sell their shares until they receive an even higher price, so a broadening range of prices appears at the top.

Eventually, the buying enthusiasm at the base of the pattern collapses and removes the support for the stock. A downward breakout occurs when the stock punches through the support level and declines. It continues moving down until reaching a point where other investors perceive significant value and buy the stock.

Upward breakouts see price continue the fight with the bulls overwhelming the bears. Sometimes, the stock will bump up against overhead resistance set up by extending the top trendline from the broadening pattern. It's as if the bulls know there's a turn coming (at the extended trendline), so they back off and let selling pressure take the stock down again.

Identification Guidelines

How do you find an ascending broadening formation? To answer the question, read the selection guidelines outlined in [Table 9.1](#). Microscopes or telescopes are optional. While chewing on the table, look at [Figure 9.3](#), an ascending broadening formation on the weekly scale.